

Madison Realty and Naftali Credit Back Brooklyn Condo: A Bet on Presales, Not Spec

The \$75M financing for 757 Flatbush Avenue shows private credit is willing to fund condo construction-but only with a proven sponsor and a clear exit.

The most important number in the \$75 million financing for 757 Flatbush Avenue is not the loan amount. It is the lender lineup: a senior loan from Madison Realty Capital and a mezzanine tranche from Naftali Credit Partners. That combination tells you exactly where private credit is willing to place a bet on for-sale development in Brooklyn right now. This is not speculative construction debt.

The financing refinances existing land debt and funds remaining hard and soft costs for a 131-unit condominium building. The capital stack is structured, not stretched. Madison Realty takes the senior position at what is likely a conservative loan-to-cost. Naftali Credit Partners provides the mezzanine piece, a position that requires confidence in both the sponsor and the project's absorption timeline.

The deal matters because it shows that private credit has not abandoned condo development. It has become surgical. The lenders are not underwriting a broad Brooklyn recovery. They are underwriting New Empire, a sponsor with a track record, a site in a transit-rich corridor near Prospect Park, and a product that can pre-sell before the building delivers.

Naftali Credit Partners has now deployed approximately \$325 million since launch and structured over \$1.4 billion in total capitalization. That is a meaningful platform, but it is not deploying indiscriminately. The firm's prior collaborations with New Empire at 208 Delancey in Manhattan and 24-01 Queens Plaza North in Long Island City suggest a repeat-borrower relationship built on execution. That relationship is the real credit enhancement.

Madison Realty Capital's participation as senior lender is equally telling. Madison is one of the most active private lenders in New York City, but it is also one of the most disciplined. The firm does not chase volume. It structures deals where the basis, the sponsor, and the exit are all defensible.

A \$58 million senior loan on a nine-story condo in Flatbush fits that profile: the asset is not a trophy, but the math works. The project itself is modest by Manhattan standards: 131 units ranging from studio to three-bedroom, with 3,348 square feet of ground-floor retail. The location near the Q, B, 2, and 5 trains gives it commuter access. The neighborhood has seen steady residential demand.

But the real underwriting question is not location. It is timing. Condo development in Brooklyn has become a game of presales. Lenders want to see enough deposits in escrow before they fund construction. This financing suggests that New Empire has either achieved that threshold or convinced both lenders that the market will absorb the units at the planned price points. Who benefits? New Empire gets the capital to build.

Naftali Credit Partners and Madison Realty get a structured deal with a known sponsor and a clear path to repayment. The broader market gets a signal that private credit is open for business on condo development, but only for sponsors who can demonstrate execution credibility. Who is exposed? Any developer without a repeat-lender relationship or a site in a proven submarket. The capital is not flowing broadly.

It is flowing to the few sponsors who have already proven they can deliver. The next thing to watch is the presale velocity. If 757 Flatbush Avenue sells units at a pace that justifies the underwriting, it will encourage more private credit to enter the Brooklyn condo space. If it stalls, the mezzanine tranche will be the first to feel the pressure.

That is the nature of structured capital: it amplifies outcomes on both sides. The deal is not proof that Brooklyn condo development is back. It is proof that the right sponsor, the right lender relationship, and the right basis can still clear. That is a narrower signal than the headline suggests, but it is a real one.

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We work across acquisitions, refinancings, recapitalizations, and development projects, with a focus on clear strategy, credible execution, and capital that fits the deal.

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